DEFI MONEY MARKET VS. THE BANK · CLICK A FACTOR TO COMPARE

AAVE vs. a traditional bank.

REVEAL ALL

FACTOR	AAVE · DEFI LENDING PROTOCOL	TRADITIONAL BANK
+ Interest rates		
+ Collateral		
+ Underwriting & KYC		
+ Loan term		
+ Custody		
+ Access & liquidity		
+ Transparency		
+ Liquidation		
+ Where the spread goes		
+ Governance & safety net		

ON-CHAIN AMM VS. THE ORDER BOOK · CLICK A FACTOR TO COMPARE

Uniswap vs. a traditional exchange.

REVEAL ALL ◉

FACTOR	UNISWAP · DEX (AMM)	TRADITIONAL EXCHANGE / BROKER
+ Market making		
+ Price discovery		
+ Liquidity providers		
+ Custody		
+ Listings		
+ KYC & accounts		
+ Settlement		
+ Fees		
+ Trading hours		
+ Intermediaries & governance		

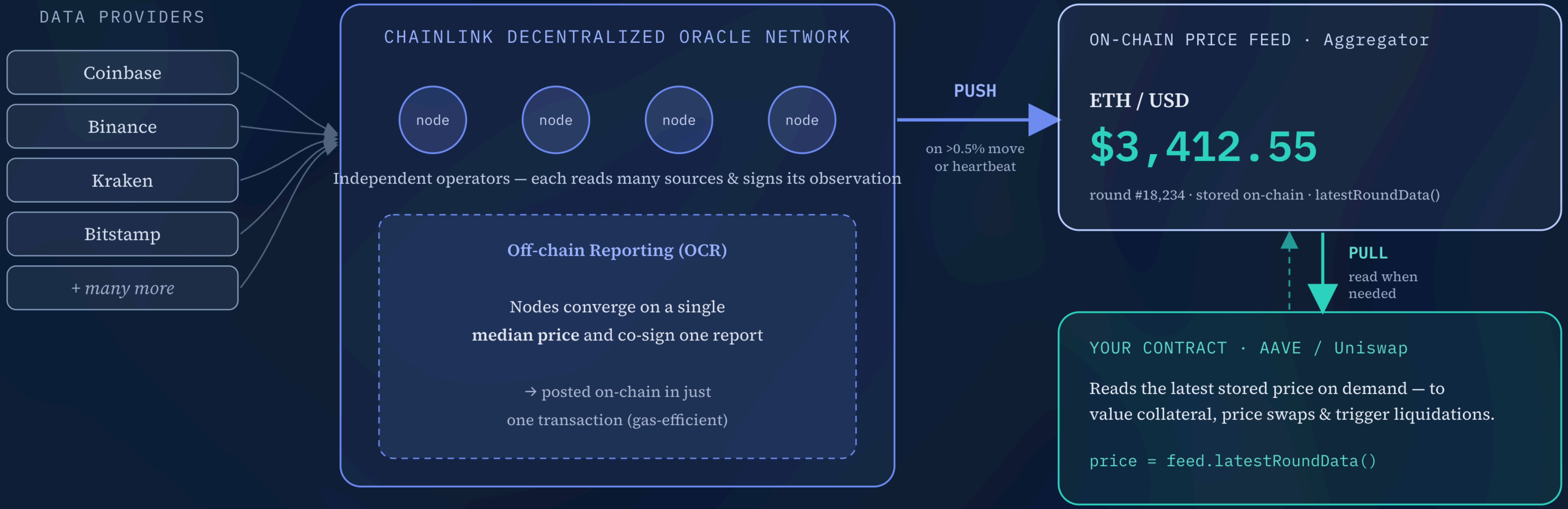
CONTINUOUS ON-CHAIN PRICE DISCOVERY VS. BOOKBUILDING · CLICK A FACTOR TO COMPARE

Uniswap CCA vs. an investment-bank IPO.

REVEAL ALL ◉

FACTOR	UNISWAP CCA · CONTINUOUS ON-CHAIN RAISE	INVESTMENT-BANK IPO
+ Price discovery		
+ Who can participate		
+ Intermediary		
+ Cost of capital		
+ Time to market		
+ Lock-ups		
+ Liquidity		
+ Disclosure & regulation		
+ Allocation fairness		
+ Investor protection		

How an on-chain price oracle works.



Decentralized sources → off-chain median → on-chain finality — no single feed to bribe or break. The network **pushes** a fresh price only when it moves past a threshold or a heartbeat elapses; your contract **pulls** that stored value the instant it needs it.

WHY YOU CAN TRUST THE PRICE — AND HOW A FEED IS CONFIGURED

What secures an oracle, and how it's tuned.

CRYPTO-ECONOMIC SECURITY · LINK STAKING

Bonded collateral (slashable). Node operators and the community stake LINK behind a feed. If it breaks its service guarantee — goes stale or underperforms — the stake can be slashed. A *financial* backstop, not just reputation.

Cost of corruption > profit from corruption. Staking raises what an attacker must overcome to bribe or collude the network into a bad price — vital when a wrong price can drain a lending market like AAVE.

Alerting & monitoring. Stakers can raise on-chain alerts when a feed misbehaves (e.g. misses its heartbeat); honest alerters are rewarded and faulty operators penalized.

Primary security is still **decentralization + premium data sourcing**; staking adds a slashable guarantee on top. (Chainlink Staking v0.2, 2023 — rolling out across major feeds.)

FEED SPECIFICATIONS · ETH/USD (ILLUSTRATIVE)

A feed updates on whichever comes first — **deviation** or **heartbeat**.

Deviation threshold push when price moves > X% from the on-chain value	`~0.5%`
Heartbeat max time between updates — guarantees freshness	`~1 hr`
Oracles (nodes) independent node operators contributing	`~31`
Min responses (quorum) observations needed to form a valid round	`signing threshold`
Aggregation how node answers combine into one	`median`
Decimals precision of the reported integer answer	`8 · (18 for ETH pairs)`

Read on-chain via `latestRoundData()` → `roundId, answer, startedAt, updatedAt, answeredInRound`. Check `updatedAt` against the heartbeat to reject stale data.